# ECONOMICS

**Paper 2281/22**
**Structured Questions**

## General Comments

The quality of the responses varied a great deal. There were some very good answers from a number of candidates, who were able to demonstrate successfully a sound knowledge and understanding of economics and a sensible and mature ability to explain and discuss a number of key economic concepts and issues. There were also, unfortunately, a number of relatively weak answers where the candidates needed to demonstrate much greater knowledge and understanding of the subject.

There were relatively few rubric errors, although some candidates did answer all seven questions on the examination paper when the actual requirement was to answer **Question 1** in ***Section A*** and just three questions in ***Section B***. This meant that a great deal of valuable time in the examination was wasted, a fact which would almost certainly have affected the eventual grade achieved.

Candidates need to pay very close attention to the precise wording of the questions, especially in terms of the command or directive word being used. For example, if the question asks the candidate to identify something, as in **Question 6 (a) (ii),** where candidates were required to identify **two** other factors that influence the size of a country's population, or to define something, as in **Question 1 (a) (i)**, where candidates were asked to define fiscal policy, then a relatively brief answer is needed. However, if the question requires the candidate to discuss something, as in **Question 4 (c)**, where candidates were required to discuss the advantages and disadvantages of monopoly, or in **Question 6 (c),** where candidates were asked to discuss whether a change in the occupational structure of a country would be beneficial for the economy, candidates need to go into much more detail, often giving two sides of an argument and then coming to a logical, well-reasoned and justified conclusion.

Candidates also need to look very closely at the number of marks given to each part of a question, as this gives a very clear indication of how much detail is required and how much time should be taken to answer it. For example, **Questions 1 (a) (i)** and **6 (a) (i)** and **(ii)** were given just two marks each, whereas **Questions 4 (c)** and **6 (c)** were each allocated ten marks.

## Comments on specific questions

### Question 1

**(a) (i)** Most candidates were able to define fiscal policy as a tool of government economic policy operating through the raising of money via taxation and the spending of that money on various areas of the economy. A few, however, confused the term with monetary policy.

**(ii)** The majority of candidates were able to explain how fiscal policy could be used to increase domestic demand, either through an increase in government spending or through a reduction in taxation or possibly through elements of both.

**(b)** This part of the question was not answered quite so well as the previous parts, largely because candidates did not read the question carefully enough. Some candidates only wrote about public spending on health care or public spending on state benefits and the candidates that did write about both did not always assess which would be the **more** successful.

**(c)** Many candidates were able to identify two possible reasons why so many people in Asia have to live on US$1.25 or less a day, such as low productivity, a basic level of education or over-dependence on agriculture, but they did not always go on to explain these reasons in any depth. It is vitally important that candidates read the question very carefully, especially in terms of the command or directive word being used.


© UCLES 2010

**(d)** There were a number of good answers to this part of the question, with candidates offering a useful discussion of the possible effectiveness of government policies to reduce poverty, such as improving education and the introduction of minimum wage legislation. Weaker answers were characterised by two particular issues. Firstly, some candidates wrote about spending on health care and state benefits, although the question explicitly stated policies other than these (because these two aspects had already been covered in part **(b)**). Secondly, a number of candidates simply described the policies without actually discussing their possible effectiveness in reducing poverty. These two issues again demonstrated the importance of candidates reading the whole question very carefully before starting to construct an answer.

**Question 2**

**(a)** Many candidates were able to define the four factors of production correctly and provide appropriate examples of each. The one factor that seemed to cause the most problems was capital. A number of candidates defined this in terms of the money spent by a business and gave spending as an example. The correct definition of capital is man-made resources used in the production of goods and services and an example would be tools, machinery or equipment. Some candidates still only refer to three factors of production, but the syllabus clearly states four: land, labour, capital and enterprise. A number of candidates tended to focus on the rewards to factors of production, which was not asked for in the question.

**(b)** There were some very good examples given in response to this part of the question. Most candidates were able to explain the nature of the economic problem as the conflict between unlimited wants and limited resources to satisfy those wants in terms of what to produce, how to produce and for whom to produce. This will, therefore, give rise to a situation of scarcity, leading to the need for a choice to be made.

**(c)** The majority of candidates were able to compare how resources were allocated in market and mixed economic systems. They commented that resources were allocated through the price system in a market economy without the need for any government intervention, whereas in a mixed economic system the government would intervene in certain aspects of the economy, especially where problems arose as a result of market failure. A few candidates were confused and believed that a market economy was run by the government.

**(d)** There were very mixed responses to this part of the question. A number of candidates were able to discuss both the advantages and disadvantages of a country's economic system changing from a mixed to a market economy, but some offered a one-sided view, arguing that there would be no disadvantages, despite the fact that there could be various examples of market failure. A few candidates misread the question and wrote about an economic system changing from a market to a mixed economy, again showing how vitally important it is for candidates to read the questions very carefully.

**Question 3**

**(a)** Many of the answers to this first part of the question were rather disappointing. A number of candidates were able to describe money as a medium of exchange, but few were able to describe the other three functions - a unit of account, a store of value and a standard for deferred payments. Some candidates misread the question and wrote about the characteristics or attributes of money, such as portability and divisibility; no marks were awarded for such answers.

**(b)** There were some good answers to this part of the question. Most candidates were able to draw the diagram accurately, showing a shift of the demand curve to the right, leading to an increase in the wages of pilots. Common errors included labelling the diagram incorrectly and having the demand curve shifting, incorrectly, to the left. A few candidates shifted the supply curve, rather than the demand curve, which could not be rewarded as no information was provided which might have brought about a change in the conditions of supply.

**(c)** This part of the question was answered reasonably well. Most candidates were able to describe how an individual's earnings were likely to increase over their lifetime, for example as a result of greater experience, more skills and a number of possible promotions, but relatively few candidates went on to state that earnings will eventually fall after a certain age.


© UCLES 2010

**(d)** When responding to this part of the question, it was expected that candidates would discuss why some individuals spend less than their income while others spend more, for example because of the impact of rates of interest on savings accounts or uncertainty about the future. Some candidates misread the question and wrote instead about possible reasons for the differences in income between various individuals, for which they could not gain credit.

**Question 4**

**(a)** Most candidates appeared to have some understanding of the main characteristics of a multi-national company. Candidates need to understand that the key characteristic of a multi-national company is that it produces in different countries, rather than that it is a company selling abroad.

**(b)** This part of the question was answered reasonably well by most candidates. They demonstrated a clear understanding of possible reasons why small firms continue to exist in all economies, such as because of the personal service that they can provide or because the size of the market may be small, as in a niche market.

**(c)** Most candidates demonstrated a good knowledge and understanding of the possible disadvantages of monopolies, such as the barriers to entry which eliminate competition and the fact that the price tends to be higher and the output lower when compared with firms in perfect competition. The question also required candidates to consider the possible advantages of monopolies. These could include the scope for economies of scale that lead to a fall in costs and possibly prices, and also the use of abnormal profits to fund research and development so that consumers would eventually benefit from improved products. Many candidates simply referred to the disadvantages and paid no, or very little, attention to the possible advantages.

**Question 5**

**(a)** Many candidates had some idea of what was meant by full employment, such as when all those willing and able to work at a given wage are working, so that all unemployment is voluntary. A number referred to it in relation to frictional unemployment and some referred to a particular percentage of employed in an economy.

**(b)** This part of the question was answered reasonably well by the majority of candidates. A number of different types of unemployment were explained, including demand deficient/cyclical, structural, frictional, technological, seasonal and regional. A few candidates offered an essentially list-like answer and so did not explain any of them in the depth required to gain full marks.

**(c)** Answers to this part of the question varied a great deal. Many candidates offered a very good answer which described the main features of a retail price index, including the establishment of a basket of goods, the idea of a base year of 100 and the allocation of weights to different items in the index. Answers that focused on the different causes of inflation could not gain credit. This again showed the importance of careful reading of a question before attempting to answer it.

**(d)** To gain higher marks on this question, candidates were expected to give a two-sided response. A number of candidates assumed that inflation was always harmful to everybody in an economy and only wrote about the disadvantages, such as the reduction in the purchasing power of a nominal sum of money and the negative effect on those on fixed incomes. It was also necessary to discuss the possible advantages of inflation, such as the stimulus it could provide to firms wanting to take advantage of the higher prices as long as the costs of production could be sufficiently controlled so that profits increased.


© UCLES 2010

**Question 6**

**(a) (i)** Many candidates gained full marks in this part of the question by explaining that net migration referred to the difference between immigration and emigration.

**(ii)** Again, many answers to this part of the question also gained full marks by identifying birth rate and death rate as two factors, other than net migration, that could influence the size of a country's population.

**(b)** There were some reasonable answers to this part of the question, with many candidates recognising the consequences of population growth for developing and developed countries. For example, they pointed out that it would be more of a problem for developing countries, given their faster rate of population growth and the effect of this on the scarce resources in such countries. The rate of increase of population in developed countries tended to be slower and any population growth would have less of an effect, given the higher standards of living in such countries.

**(c)** This question did not appear to be well understood by some candidates. Some recognised that this referred to a movement away from the primary sector and towards the secondary and, especially, the tertiary sectors, but they then needed to go on to discuss whether such a change would be beneficial for an economy. The better answers stressed that such a change in the occupational structure of an economy was likely to help a country on its path to development, leading to higher standards of living.

**Question 7**

**(a)** The majority of candidates were able to describe the structure of the current account of a country's balance of payments in terms of the visible account in goods and the invisible account in services. Better candidates went on to describe the other two features of the current account, these being income flows and current transfers.

**(b)** This was answered reasonably well by the majority of candidates, who explained the various policies that a government could use to reduce a deficit on the current account of the balance of payments. Possible examples included a reduction of imports, possibly through the imposition of tariffs and/or quotas, and an expansion of exports, possibly through providing subsidies to firms. Answers which focused on increasing exports or decreasing imports only could not gain more than four marks.

**(c)** A number of candidates demonstrated a sound understanding of the concept of specialisation by referring to the process by which individuals, firms, regions or whole economies would concentrate on producing those goods and services in which they had an advantage. Some candidates only referred to the division of labour, which limited the number of marks that could be awarded.

**(d)** Most candidates were able to discuss the benefits and disadvantages of specialisation at the national level. For example, one advantage would be the greater degree of productive efficiency, while one disadvantage would be the problem of specialising in particular products where there was a decline in the demand for such products. As in part **(c)**, some candidates referred to the division of labour only and this again limited the number of marks that could be awarded.


© UCLES 2010